Chapter Thirty-Four

Foreign Reserves in Excess of $600 Billion: In Service of the Nation?

India is the Fourth-Largest Holder of Foreign Currency Reserves in the World

The IMF provides detailed data on foreign exchange reserves held by different countries. Gold is treated as part of foreign exchange reserves.

In December 2021, global holdings of foreign exchange reserves amounted to $12.8 trillion. India's holdings were $650 billion, about 4.96 per cent of global foreign currency reserves. The country achieved the milestone of holding the fifth largest reserves in the world in 2020 and the fourth largest reserves in 2021.

With holdings of $3399.9 billion, China has the largest hoard, followed by Japan with holdings of $1387.4 billion. Switzerland's stash of $850.8 billion defies the relationship of foreign exchange reserves with the size of economy and exports. Russia, with $562.3 billion, has fallen behind India now.

India left oil exporter Saudi Arabia and Hong Kong behind. Saudi Arabia's foreign currency reserves amount to $501.8 billion while Hong Kong has a little under $475 billion. Taiwan, South Korea and Brazil are the three other countries with the largest foreign currency reserves in the world.

India faced its worst foreign exchange crisis when it was left with reserves of only $5.8 billion at the end of March 1991 and had to hypothecate about 47 tonnes of gold to raise about $400 million to avert payment default. These reserves were sufficient to pay for only four weeks